CHAPTER H-01

INTRODUCTION TO HEALTH INSURANCE

Chapter Introduction

This chapter will tell you about how insurance evolved over time. It will also explain what healthcare is, levels of healthcare and types of healthcare. You will also learn about the healthcare system in India and factors affecting it. Finally, it will explain how health insurance evolved in India and also the various players in the health insurance market in India.

Learning Outcomes

A. Understanding Healthcare

B. Levels of Healthcare

C. Types of Healthcare

D. Evolution of Health Insurance in India

E. Health Insurance Market

After studying this chapter, you should be able to:

a) Understand how insurance evolved.
b) Explain the concept of healthcare and the types and levels of healthcare.
c) Appreciate the factors affecting healthcare in India and the progress made since independence.
d) Discuss the evolution of health insurance in India.
e) Know the health insurance market in India.

A. Understanding Healthcare

The word 'Health' was derived from the word 'hoelth', which means 'soundness of the body'.

In olden days, health was considered to be a 'Divine Gift' and illness was believed to have been caused due to the sins committed by the concerned person. It was Hippocrates (460 to 370 BC) who came up with the reasons behind illness. According to him, illness is caused due to various factors relating to environment, sanitation, personal hygiene and diets. Vedic texts of ancient India speak about *'Arogyame Mahabhagyam'* meaning 'Health is great luck' or in other words, 'Health is Wealth'. Many treatises of ancient India like *Atharva Veda, Charaka Samhita, Sushruta Samhita, Ashtangahrdayam, Ashtangasamgraha, Bhela Samhita*, and *Kashyapa Samhita* discuss healing traditions practiced in India in olden times.

Definition

A widely accepted definition of health was given by World Health Organization (WHO) –*'Health is a state of complete physical, mental and social wellbeing and not merely the absence of disease or infirmity.'*

Determinants of health

It is generally believed that the following factors determine the health of any individual:

a) Lifestyle factors

Lifestyle factors are those which are mostly in the control of the individual concerned e.g. exercising and eating within limits, avoiding worry and the like leading to good health; leading to diseases such as cancer, aids, hypertension and diabetes, to name a few.

b) Environmental factors

Communicable diseases like Influenza and Chickenpox etc. are spread due to bad hygiene, diseases like Malaria and Dengue are spread due to bad environmental sanitation, while certain diseases are also caused due to environmental factors.

c) Genetic factors

Diseases may be passed on from parents to children through genes. Such genetic factors result in differing health trends amongst the population spread across the globe based on race, geographical location and even communities.

It is quite obvious that a country's social and economic progress depends on the health of its people. This poses a question as to whether different types of healthcare are required for different situations.

Test Yourself 1

Which of the following diseases is not attributed to Lifestyle factors (i.e. not in the control of the individual)?

I. Cancer
II. Aids
III. Malaria
IV. Hypertension

B. Levels of Healthcare

Healthcare is nothing but a set of services provided by various agencies and providers including the government, to promote, maintain, monitor or restore health of people. Health care to be effective must be:

- Appropriate to the needs of the people
- Comprehensive
- Adequate
- Easily available
- Affordable

The health care facilities should be based upon the probability of the incidence of disease for the population. For example, a person may get fever, cold, cough, skin allergies etc. many times a year, but the probability of him/ her suffering from Hepatitis B is less as compared to cold and cough.

Hence, the need to set up the healthcare facilities in any area whether a village or a district or a state will be based upon the various healthcare factors called indicators of that area such as:

- ✓ Size of population
- ✓ Death rate
- ✓ Sickness rate
- ✓ Disability rate
- ✓ Social and mental health of the people
- ✓ General nutritional status of the people
- ✓ Environmental factors such as if it is a mining area or an industrial area
- ✓ The possible health care provider system e.g. heart doctors may not be readily available in a village but may be in a district town
- ✓ How much of the health care system is likely to be used
- ✓ Socio-economic factors such as affordability

Based on the above factors, the government decides upon setting up of centres for primary, secondary and tertiary health care and takes other measures to make appropriate healthcare affordable and accessible to the population.

C. Types of Healthcare

Healthcare is broadly categorized as follows:

1. Primary healthcare

Primary health care refers to the services offered by the doctors, nurses and other small clinics which are contacted first by the patient for any sickness, that is to say that primary healthcare provider is the first point of contact for all patients within a health system.

For example, if a person visits a doctor for fever and the first diagnosis is indicative of Dengue fever, the primary health care provider will prescribe some medicines but also direct the patient to get admitted in a hospital for specialized treatment.

At a country level, Primary Health care centres are set up both by Government and private players. Government primary health care centres are established depending upon the population size and are present right up to the village level in some form or the other.

2. Secondary healthcare

Secondary health care refers to the healthcare services provided by medical specialists and other health professionals who generally do not have first contact with patient. It includes acute care requiring treatment for a short period for a serious illness, often (but not necessarily) as an in-patient, including Intensive Care services, ambulance facilities, pathology, diagnostic and other relevant medical services.

3. Tertiary healthcare

Tertiary Health care is specialized consultative healthcare, usually for inpatients and on referral from primary/ secondary care providers.

Examples of Tertiary Health care providers are those who have advanced medical facilities and medical professionals, beyond the scope of secondary health care providers e.g. Oncology (cancer treatment), Organ Transplant facilities, High risk pregnancy specialists etc.

It is to be noted that as the level of care increases, the expenses associated with the care also increase. The infrastructure for different levels of care also varies from country to country, rural-urban areas, while socio-economic factors also influence the same.

Test Yourself 2

Which of the following are part of primary healthcare?

I. Fever
II. Cancer
III. Organ Transplant
IV. High risk pregnancy

D. Evolution of Health Insurance in India

While the government had been busy with its policy decisions on healthcare, it also put in place health insurance schemes. Insurance companies came with their health insurance policies only later. Here is how health insurance developed in India:

1. **Employees' State Insurance Scheme**

   Health Insurance in India formally began with the beginning of the Employees' State Insurance Scheme, introduced vide the ESI Act, 1948, shortly after the country's independence in 1947. This scheme was introduced for blue-collar workers employed in the formal private sector and provides comprehensive health services through a network of its own dispensaries and hospitals.

   ESIC (Employees State Insurance Corporation) is the implementing agency which runs its own hospitals and dispensaries and also contracts public/ private providers wherever its own facilities are inadequate.

2. **Central Government Health Scheme**

   The ESIS was soon followed by the Central Government Health Scheme (CGHS), which was introduced in 1954 for the central government employees including pensioners and their family members working in civilian jobs. It aims to provide comprehensive medical care to employees and their families and is partly funded by the employees and largely by the employer (central government).

3. **Commercial Health insurance**

   Commercial health insurance was offered by some of the non-life insurers before as well as after nationalisation of insurance industry.
   In 1986, the first standardised health insurance product for individuals and their families was launched in the Indian market by all the four nationalized non-life insurance companies (these were then the subsidiaries of the General Insurance Corporation of India). This product, **Mediclaim** was introduced to provide coverage for the hospitalisation expenses up to a certain annual limit of indemnity with certain exclusions such as maternity, pre-existing diseases etc.
   The hospitalization indemnity-based annual contract continues to be the most popular form of private health insurance in India today. With private players coming into the insurance sector in 2001, health insurance has grown tremendously. However, there is a large untapped market even today.

   The Government has encouraged individuals to purchase Health Insurance policies. Premiums paid by the individuals towards Health Insurance of self, spouse and family members are allowed to be deducted from taxable income under Section 80 D of the Income Tax Act. The Section allows higher limits for paying premiums of parents/ parents in law above 60 years of age.

   Considerable variations in covers, exclusions and newer add-on covers have been introduced which will be discussed in later chapters.

Test Yourself 3

The first standardised health insurance product for individuals and their families was launched in the Indian market by all the four nationalized non-life insurance companies in the year _____.

I. 1948
II. 1954
III. 1986
IV. 2001

E. Health Insurance Market

The health insurance market today consists of a number of players some providing the health care facilities called providers, others the insurance services and also various intermediaries. Some form the basic infrastructure while others provide support facilities. Some are in the government sector while others are in the private sector.

1. Private sector Health Care providers

India has a very large private health sector providing all three types of healthcare services - primary, secondary as well as tertiary. These range from voluntary, not-for-profit organisations and individuals to for-profit corporate, trusts, solo practitioners, stand-alone specialist services, diagnostic laboratories, pharmacy shops, and also the unqualified providers (quacks).

India also has the largest number of qualified practitioners in other systems of Medicine (Ayurveda/ Siddha/ Unani/ Homeopathy) which is over 7 lakh practitioners. These are located in the public as well as the private sector. Apart from the for-profit private providers of health care, the NGOs and the voluntary sector have also been engaged in providing health care services to the community.

Insurance Companies in the general insurance sector provide the bulk of the health insurance services. Stand Alone Health Insurance (SAHI) Companies are allowed to transact all types of Health Insurances, while Life Insurance Companies are also permitted to transact certain types of Health Insurances.

2. Intermediaries:

A number of people and organizations providing services as part of the insurance industry also form part of the health insurance market. Insurance Intermediaries are defined under Section 2 of the IRDA Act, 1999. These include insurance brokers, reinsurance brokers, insurance consultants, surveyors and loss assessors as well as Third Party Administrators.

A Third Party Administrator (TPA) is a company registered with IRDAI and engaged by an insurer, for a fee, for providing health services. A TPA may render the following services to an insurer under an agreement in connection with health insurance business:

a. Servicing of claims under health insurance policies by way of pre authorization of cashless treatment or settlement of claims other than cashless claims or both, as per the underlying terms and conditions of the respective policy and within the framework of the guidelines issued by the insurers for settlement of claims.
b. Servicing of claims for Hospitalization cover, if any, under Personal Accident Policy and domestic travel policy.
c. Facilitating carrying out of pre-insurance medical examinations in connection with underwriting of the health insurance policies.

Summary

a) Insurance in some form or other existed many centuries ago but its modern form is only a few centuries old. Insurance in India has passed through many stages with government regulation.

b) Health of its citizens being very important, governments play a major role in creating a suitable healthcare system.

c) Level of healthcare provided depends on many factors relating to a country's population.

d) The three type of healthcare are primary, secondary and tertiary depending on the level of medical attention required. Cost of healthcare rises with each level with tertiary care being the costliest.
e) India has its own peculiar challenges such as population growth and urbanization which require proper healthcare.

f) The public sector insurance companies were the first to come up with schemes for health insurance followed later by commercial insurance by private insurance companies.

g) The health insurance market is made up of many players some providing the infrastructure, with others providing insurance services, intermediaries such as brokers, agents and third party administrators servicing health insurance business and also other regulatory, educational as well as legal entities playing their role.

Answers to Test Yourself

Answer 1 The correct option is III.
Answer 2 The correct option is I.
Answer 3 The correct option is III.

Key terms

a) Healthcare
b) Commercial insurance
c) Nationalization
d) Primary, Secondary and Tertiary Healthcare
e) Third Party Administrator